Insertion of new section 44BBD.

11. After section 44BBC of the Income-tax Act, the following section shall be inserted, with effect from the 1st April, 2026, namely:—

'44BBD. *Special provision for computing profits and gains of non-residents engaged in business of providing services or technology for setting up an electronics manufacturing facility or in connection with manufacturing or producing electronic goods, article or thing in India.*—(*1*) Notwithstanding anything to the contrary contained in sections 28 to 43A, where an assessee, being a non-resident, engaged in the business of providing services or technology in India, for the purposes of setting up an electronics manufacturing facility or in connection with manufacturing or producing electronic goods, article or thing in India—

(*a*) to a resident company which is establishing or operating electronics manufacturing facility or a connected facility for manufacturing or producing electronic goods, article or thing in India, under a scheme notified by the Central Government in the Ministry of Electronics and Information Technology; and
(*b*) the resident company satisfies the conditions prescribed in this behalf,

a sum equal to twenty-five per cent. of the aggregate of the amounts specified in sub-section (*2*) shall be deemed to be the profits and gains of such business of the non-resident assessee chargeable to tax under the head "Profits and gains of business or profession".

(*2*) The amounts referred to in sub-section (*1*) shall be the following:—

(*a*) the amount paid or payable to the non-resident assessee or to any person on his behalf on account of providing services or technology; and
(*b*) the amount received or deemed to be received by the non-resident assessee or on behalf of non-resident assessee on account of providing services or technology:

Provided that the provisions of section 44DA or section 115A shall not apply in respect of the amounts referred to in this sub-section.

(*3*) Notwithstanding anything in sub-section (*2*) of section 32 and sub-section (1) of section 72, where a non-resident assessee declares profits and gains of business for any previous year under sub-section (1), no set off of unabsorbed depreciation and brought forward loss shall be allowed to the assessee for such previous year.'.